

Mahindra & Mahindra Ltd

M&M

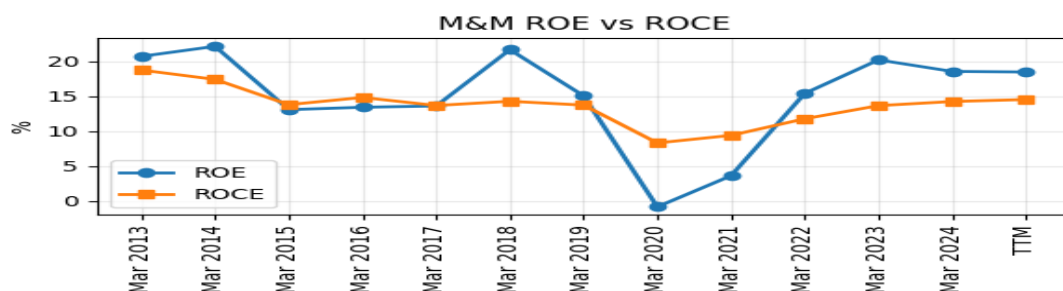
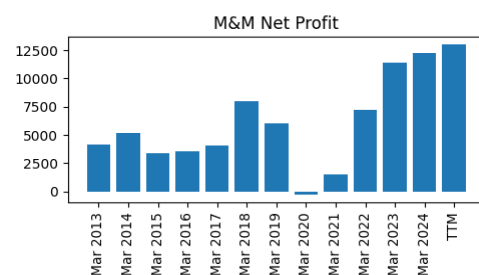
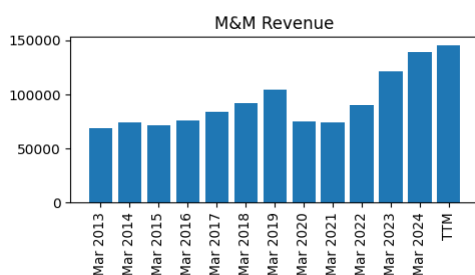
Key Financial Metrics

ROE 18.45%	ROCE 14.52%	Debt / Equity 1.66
Revenue CAGR 6.62%	FCF Conversion -45.88%	Quality Score 22.44

Company Profile

Company	Mahindra & Mahindra Ltd
Sector	Consumer Discretionary
Industry	Automobiles
Market Cap (■ Cr)	4,173,085.48
P/E Ratio	14.22
P/B Ratio	0.81
Dividend Yield	2.37%

Financial Performance



AI Investment Summary

Mahindra & Mahindra Ltd currently faces multiple financial challenges that increase investment risk. It currently has healthy profitability, average capital efficiency, limited revenue growth, high quality cash-flow quality and elevated leverage. The overall financial quality score is 22.4/100. Key strengths include: Profits are compounding faster than revenue, indicating improving operating leverage and scalability.. Key risks include: Two consecutive years of negative free cash flow point to weak cash generation.; Debt-to-equity ratio has increased continuously for three years, indicating rising financial leverage.. Investment recommendation: Avoid. Overall, the company appears to be financially weak with elevated investment risk.

Pros & Cons

Pros	Cons
Profits are compounding faster than revenue, indicating improving operating leverage and scalability.	- Two consecutive years of negative free cash flow point to weak cash generation. - Debt-to-equity ratio has increased continuously for three years, indicating rising financial leverage.

Investment Recommendation

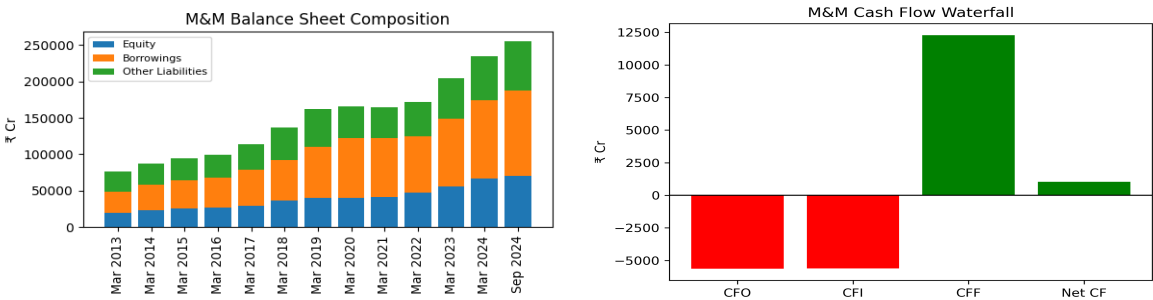
Recommendation	AVOID
Risk Level	VERY HIGH
Confidence	LOW

Recommendation Reason:

The recommendation is based on an adjusted financial score of 22.4/100, supported by 1 identified strengths, 2 identified risks, and cash-flow quality rated as High Quality.

Adjusted Score: 22.4

Balance Sheet & Cash Flow



Financial Health

Profitability	Moderate
Growth	Moderate
Cash Flow	Weak
Leverage	Weak
Valuation	Cheap

Capital Allocation

Growth Funded by Debt